

Data Strategy

GLOSSARY 03 - SHEET 2 / 8

The choices governing how data is sourced, governed and used to serve the business strategy

PROFESSIONAL DEFINITION

A data strategy is the set of choices governing how an organisation sources, stores, governs, shares and exploits data in service of its business strategy. A central choice is the balance between defensive objectives - security, integrity, regulatory compliance - and offensive objectives - analytics, customer insight, competitive differentiation - since the architectures that optimise for one impede the other (DalleMule and Davenport, 2017).

WHO DEFINED IT ORIGINALLY

The offence-defence framing was set out by Leandro DalleMule, then chief data officer at AIG, and Thomas H. Davenport of Babson College in the Harvard Business Review in 2017. The single-source-of-truth versus multiple-versions-of-the-truth architecture that operationalises it is drawn from the data-warehousing tradition of Inmon (1992) and Kimball (1996).

WHY THIS DEFINITION WAS DEVELOPED

Chief data officers were being given two mandates that pull in opposite directions - control the data and monetise it - and were failing at both by pursuing them with one architecture. Naming the trade-off allowed the balance to be set deliberately, by industry and by regulatory exposure, rather than resolved by whichever function shouted last.

FIGURE 1 - THE OFFENCE-DEFENCE CONTINUUM

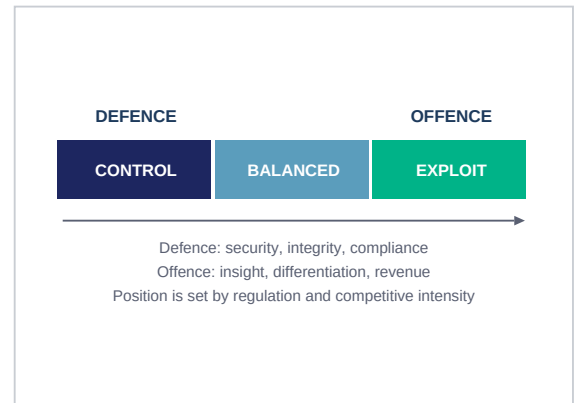


Figure 1. Every firm sits somewhere on this line and no firm sits at both ends. Architectures optimised for a single source of truth serve defence; architectures permitting multiple transformed versions serve offence (after DalleMule and Davenport, 2017).

HOW IT IS USED

Place the firm on the offence-defence continuum according to regulatory exposure and competitive intensity, then design a single source of truth for governed data while permitting business functions their own transformed versions above it.

WHEN IT IS USED

At the appointment of a chief data officer, before an AI programme that depends on data the firm does not yet control, at regulatory change, and when analytics teams are recreating the same dataset independently.

BY WHOM IT IS USED

Chief data officers setting the architecture, chief information security officers on the defensive side, analytics and AI leaders on the offensive side, and the executive committee arbitrating between them.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor was data governance framed purely as a control function, in which every request was assessed for risk and value creation had no advocate. The offence-defence continuum makes the trade-off explicit and positional: a regulated bank and a consumer platform should sit at different points, and each can then justify its architecture against its own position rather than against a universal ideal of control.

RELATED DEFINITIONS IN THIS COURSE

[AI Strategy - Unit 3](#)
[AI Operating Model - Unit 3](#)
[MLOps - Unit 4](#)
[Data Protection by Design - Unit 6](#)
[Competitive Advantage - Unit 3](#)

SOURCES (HARVARD REFERENCING STYLE)

DalleMule, L. and Davenport, T.H. (2017) 'What's your data strategy?', Harvard Business Review, 95(3), pp. 112-121.

Inmon, W.H. (1992) Building the Data Warehouse. New York: John Wiley & Sons.

Kimball, R. (1996) The Data Warehouse Toolkit. New York: John Wiley & Sons.

Davenport, T.H. and Bean, R. (2023) 'Data and AI leadership executive survey 2023', MIT Sloan Management Review, January.